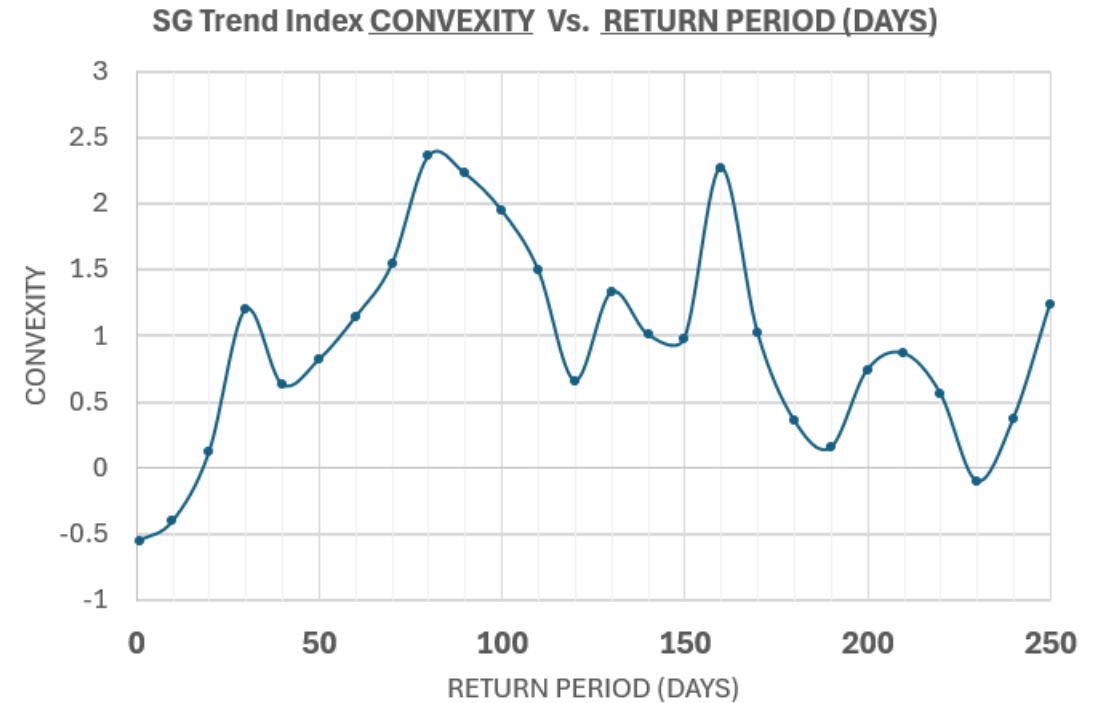
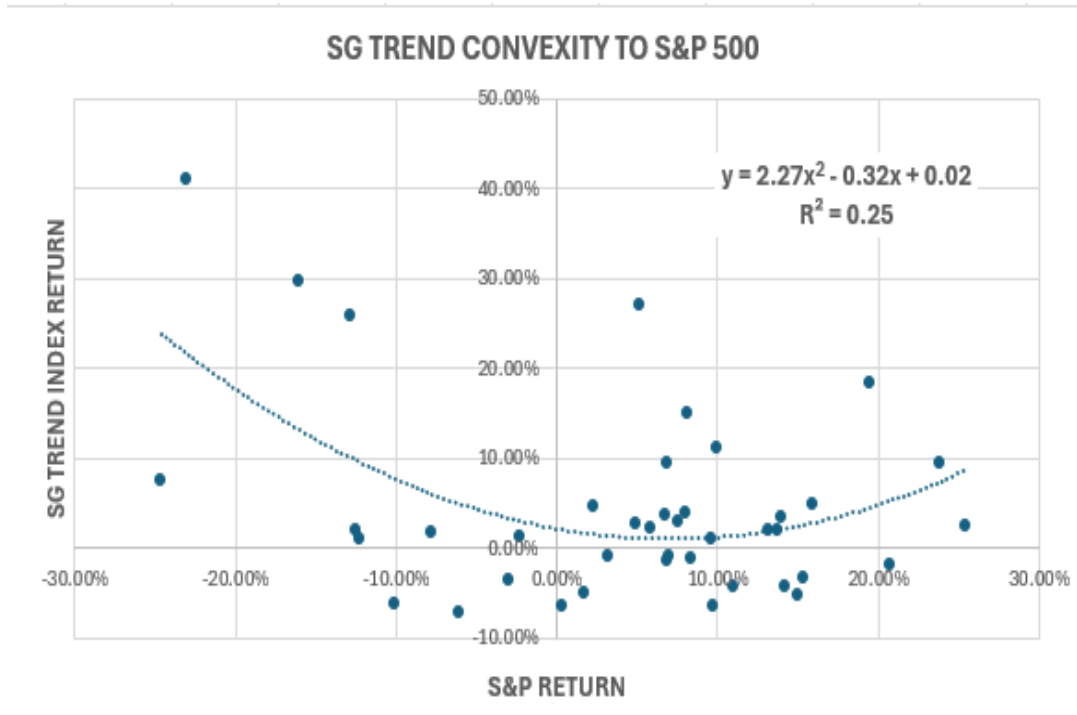


SG TREND INDEX CONVEXITY VS S&P 500

Define convexity as the co-efficient of the x^2 term in a quadratic line-of-best fit.

Then examine how the convexity term varies as the return-period is changed (from 1 to 250 days):



SG TREND INDEX CONVEXITY VS S&P 500

Key takeaways:

- **Convexity peaks at around an 80-90 day return period.**
- The spike at 160 days is driven by a single big outlier (the 160 days prior to 16/3/2001).
- The broader pattern is for convexity to rapidly improve as the return period extends from daily to roughly 80-90 days, then decline again.
- Consistent with Robertson and Goodall (2023), this highlights the importance of choosing the time-frame over which to assess the effectiveness of Trend Following strategies.
- This exercise is not designed to “data-mine” for the best period to show, but rather to demonstrate that an intrinsic or characteristic time frame exists which is likely linked to the specifications used by the underlying trend-following strategies.